NORTHSTAR TECHNOLOGIES
PVT. LTD.

EXPENSE AND REIMBURSEMENT POLICY

Standards for business spending, expense claims, approvals and reimbursement

Document ID	FIN-POL-001
Document Type	POLICY
Access Scope	ALL_EMPLOYEES
Department	Enterprise-wide
Version	1.0
Effective Date	04 November 2026
Document Owner	Finance
Review Cycle	At least annually and after material finance or tax-process changes

Purpose. This policy explains which reasonable business expenses may be claimed, how employees must obtain approvals, what supporting evidence is required, and how Finance reviews and processes reimbursements. It is intended to promote fair treatment, financial accountability and clear audit records.

Fictional demonstration document for the OnBoardIQ sample knowledge base. The expense categories, illustrative limits and timelines in this document are sample values only—not approved Northstar entitlements, tax advice or a statement of applicable law. Actual reimbursement requires confirmation against the company's formally approved schedule and applicable rules.

1. Scope and eligibility

This policy applies to employees who incur reasonable and necessary expenses while performing authorized work for Northstar Technologies Pvt. Ltd. It may be adapted for interns, contractors or other personnel where their engagement terms explicitly permit reimbursement.

The ALL_EMPLOYEES access scope makes this policy available to all authenticated employees. It does not guarantee reimbursement, authorize spending outside an approved budget or replace a required purchase-order or procurement process.

2. General principles

- Expenses must be necessary for a legitimate business purpose, reasonable in amount and incurred for the company's benefit.
- Obtain approval before committing company funds whenever prior approval is required.
- Choose cost-effective options that meet the business need; avoid unnecessary upgrades or personal preferences charged to the company.
- Submit accurate claims promptly with itemized receipts and a clear business explanation.
- Never split a purchase or claim to avoid an approval threshold.
- Do not claim the same expense more than once or claim costs already paid directly by the company or another party.
- Employees must not approve their own claims or those of a person where a conflict of interest exists.

3. Eligible expense categories

The following categories are examples of expenses that may be reimbursable when directly related to approved business activity and supported by required evidence.

- **Business travel:** approved airfare, rail, local transport, parking and reasonable accommodation for an authorized trip.
- **Meals during business travel:** reasonable meals incurred while travelling for approved work, subject to applicable limits and documentation.
- **Client and business meetings:** modest meeting-related refreshments or meals where there is a clear business purpose and required approval.
- **Remote-work expenses:** eligible connectivity or work-related expenses only where the employee's approved arrangement and the applicable expense schedule permit them.
- **Training and professional development:** approved course fees, examination fees, books or event registration relevant to the employee's role.
- **Work supplies:** low-value materials or accessories required for work where procurement procedures allow employee purchase.
- **Other approved expenses:** exceptional costs specifically authorized by the relevant budget owner.

4. Non-reimbursable expenses

- Personal purchases, entertainment or leisure costs unrelated to an approved business purpose.
- Fines, penalties, traffic violations, personal subscriptions and personal membership fees.
- Alcohol, unless a formally approved business-entertainment rule explicitly permits a specific expense and applicable law allows it.
- Costs for family members, companions or guests unless expressly approved under a documented business arrangement.
- Luxury upgrades, avoidable cancellation charges or no-show fees caused by personal choice or negligence.
- Expenses without adequate supporting evidence, unless Finance approves a documented exception.
- Duplicate claims, altered receipts, fictitious expenses or costs already paid by the company.

- Any expense prohibited by law, contract, customer requirement or another applicable company policy.

5. Approval requirements and illustrative thresholds

Employees must obtain approval from the appropriate manager or budget owner before incurring expenses that require prior authorization. The approver must consider business purpose, budget availability, reasonableness and any procurement requirement.

The following figures are illustrative examples for demonstrating workflow logic only. They are not actual company spending limits and must not be treated as an entitlement or approval authority.

Illustrative expense amount	Example approval route
Up to ■2,000	Manager approval, where required by the expense category
■2,001–■10,000	Manager and budget-owner approval
Above ■10,000	Department head and Finance review before commitment
Any exceptional or sensitive expense	Specific documented approval, regardless of amount

6. Travel and accommodation

- Obtain travel authorization before booking unless an approved emergency process applies.
- Use preferred vendors and reasonable economy options where practical and consistent with business needs.
- Choose accommodation that is safe, reasonably priced and suitable for the work location.
- Use public transport or cost-effective local transport where practical; explain exceptions.
- Document the trip purpose, dates, destination, attendees where relevant and project or cost centre.
- Submit cancellation or change fees with an explanation and evidence of the reason.

7. Receipts and supporting documentation

- Provide an itemized receipt or tax invoice showing supplier, date, description and amount.
- For travel, include booking confirmations, tickets and proof of payment where relevant.
- For client or team expenses, record the business purpose and attendees or group where appropriate.
- For expenses in foreign currency, provide the original amount and currency; Finance determines the accepted conversion method.
- If a receipt is unavailable, provide alternative evidence and a declaration explaining the circumstances; reimbursement is subject to Finance review.
- Do not alter, fabricate or combine receipts in a way that misrepresents the original transaction.

8. Claim submission procedure

Employees should submit claims through the designated expense-management or finance workflow. If no system is available, Finance may specify an approved form and submission channel.

- Create a separate line for each expense and select the correct category.
- Enter the transaction date, supplier, amount, currency, business purpose and project or cost centre.
- Attach legible supporting documents and evidence of required prior approval.
- Declare any personal portion, refund, credit, advance or amount already paid directly by the company.
- Review the claim for accuracy and submit it to the assigned approver.

- Respond promptly to Finance questions or requests for additional evidence.

9. Submission timelines and processing

As an illustrative operating target, employees should submit claims within 30 calendar days after the expense is incurred or the business trip ends. Finance should acknowledge complete claims and aim to process approved claims within 15 business days, subject to workload, verification and payroll or banking schedules.

These timelines are demonstration values, not guaranteed service levels. The actual submission window and processing target must be defined by the approved Finance process. Late claims may require additional explanation or approval.

10. Advances, corporate cards and refunds

- Business advances must be approved, used only for the stated purpose and reconciled with receipts after the activity.
- Unused advance balances must be returned through the approved Finance process.
- Corporate cards may be used only for authorized business expenses and must not be shared.
- Cardholders must submit transaction evidence and reconcile statements within the Finance deadline.
- Refunds, credits, cancellations and supplier reimbursements related to a claimed expense must be disclosed and returned or reconciled appropriately.
- Personal use of a corporate card is prohibited unless an explicitly approved exception and correction process applies.

11. Finance review and payment

- Finance checks claim completeness, arithmetic, category eligibility, supporting evidence, approval and possible duplicate payment.
- Finance may return incomplete claims, request clarification, reject ineligible items or escalate suspected irregularities.
- Approved claims are paid through the designated company payment or payroll process, subject to verification and applicable requirements.
- The employee should review the reimbursement statement and report discrepancies promptly.
- Approvers and Finance reviewers must maintain appropriate separation of duties.

12. Tax, records and audit

Employees must provide accurate invoices and tax details where required. Finance determines the appropriate accounting and tax treatment based on applicable law and professional guidance.

Expense claims, approvals, receipts and payment records must be retained in approved systems according to the company's record-retention schedule. Access should be limited to employees who need the information for approval, accounting, audit or compliance.

13. Misuse, errors and suspected fraud

Employees must promptly correct accidental errors, duplicate submissions or mistaken payments and cooperate with reasonable review.

Falsified receipts, intentionally misleading descriptions, concealed personal costs, duplicate reimbursement or deliberate circumvention of approvals may be escalated under applicable company procedures. Suspected fraud should be reported through the approved Finance, HR or ethics channel.

14. Exceptions and disputes

An exception request must state the business reason, expense details, amount, budget owner, supporting evidence and reason the standard process cannot be followed. Approval must be obtained from the appropriate authority before the expense is incurred whenever practicable.

Employees who disagree with a claim decision should first request clarification from Finance and may escalate through the designated Finance manager or HR process. The review should consider the policy, evidence and approval record.

15. Employee expense checklist

- The expense has a genuine and documented business purpose.
- I checked whether prior approval or procurement is required.
- The amount is reasonable and within the approved budget.
- I have an itemized receipt or documented explanation for missing evidence.
- I selected the correct expense category, date, currency and cost centre.
- I disclosed refunds, advances, corporate-card payments and personal portions.
- The claim is accurate, complete and not duplicated.
- I submitted it through the approved workflow within the required timeframe.

16. Policy ownership and review

Finance owns this policy and coordinates review with HR, Procurement, IT Operations and business leaders as appropriate. Review it at least annually and whenever expense systems, approval structures, tax requirements or business travel practices materially change.

Document governance

Policy owner: Finance. Effective date: 04 November 2026. Version: 1.0. Changes should be version-controlled and communicated to all affected employees.

End of document. Fictional Northstar Technologies Pvt. Ltd. demonstration artifact for the OnBoardIQ sample knowledge base. All procedures, thresholds and timelines are illustrative.